Priority sectors are those sectors which substantially contribute to national income but get less credit from the banking sector. The priority sector list is provided by the RBI. The list is being revised frequently. A target of 40 per cent of Adjusted Net Bank Credit (ANBC) or credit equivalent amount of Off-Balance Sheet Exposures (OBE), whichever is higher, had been stipulated for lending to the priority sector by domestic Scheduled Commercial Banks (SCBs) (both public and private sector). Within this, sub-targets of 18 per cent and 10 per cent of ANBC or credit equivalent amount of OBE, whichever is higher, had been stipulated for lending to agriculture and the weaker sections respectively.[6]

The sub target of 18 per cent for agriculture was further sub divided into 13.5 per cent of direct lending and 4.5 per cent of indirect lending. But from April 2015 this sub division was abolished.

A target of 8 per cent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher, has been prescribed for small and marginal farmers within agriculture, to be achieved in a phased manner i.e., 7 per cent by March 2016 and 8 per cent by March 2017.

A target of 7.5 per cent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher, has been prescribed for Micro Enterprises, to be achieved in a phased manner i.e. 7 per cent by March 2016 and 7.5 per cent by March 2017.

The priority sector lending target for RRBs is 60 per cent.

Foreign banks with 20 branches and above already have priority sector targets and sub-targets for agriculture and weaker sections, which are to be achieved by March 31, 2018 as per the action plans submitted by them and approved by RBI. The sub-targets for small and marginal farmers and micro enterprises would be made applicable post 2018 after a review in 2017. Foreign banks with less than 20 branches will move to Total Priority Sector Target of 40 per cent of ANBC or Credit Equivalent Amount of Off-Balance Sheet